

Honors Intro Micro | In Class

November 7, 2021

Vignette 5 | Covid Vaccine

Lets model the Covid Vaccine. Lets assume the following:

1. There is a linear marginal benefit curve for the vaccine.
2. The vaccine carries with it a positive externality.
3. There is a linear supply curve for the vaccine. The supply curve for the vaccine is a little funny, and we'll talk about imperfect close substitutes in the next few weeks. But we'll just assume it's there.

Use a graph to discuss the welfare in the market, any potential market failure, and some policy options to correct any market failure you may find.



